BETWEEN THE LINES

ISSUE NO. 03 · AUGUST 2026 · KELLY ANDERSON GROUP / IMPACT SOLUTIONS

OPENING

"We remain confident that the enterprise will continue to deliver strong operating leverage," Schneider CEO Jim Filter told investors this week, as the truckload market entered what he called "only the early stages of rate recovery" [FreightWaves]. That mood, driven by capacity leaving faster than freight demand is arriving, is the through-line of the month. Inside this issue: how DOT enforcement is reshaping the driver pool, a $604M nuclear verdict that has brokers on edge, a new veterans-to-CDL pipeline, and autonomous trucks moving from pilot to payroll.

THE BIG STORY

Enforcement, not demand, is doing the heavy lifting. Carriers are finally getting price back.

The freight market has turned, and shrinking driver supply is what flipped it

Schneider National handily beat second quarter expectations, raised full-year earnings guidance, and told investors June "closely resembled March 2021," the prior cycle peak [FreightWaves]. The one-way fleet booked double-digit contract rate increases and a 16% year-over-year jump in revenue per truck per week. But the interesting part is why. Filter credited "the positive impact of non-compliant capacity exiting the market" as landing sooner than expected. In plain English: drivers are leaving faster than freight is showing up.

50¢	24,000	$604M	68.5%
REEFER RATE JUMP PER MILE THIS PRODUCE SEASON	FOREIGN TRUCKERS PULLED FROM US ROADS ON ENGLISH RULE	NUCLEAR VERDICT AGAINST C.H. ROBINSON IN TEXAS	UPS US VOLUME NOW FLOWING THROUGH AUTOMATED HUBS

The enforcement story is now measurable. DAT's Dean Croke says reefer rates climbed 50 cents per mile during this year's produce season, more than double the decade average of 23 cents, even though produce volume was flat [Transport Topics]. The DAT Truckload Volume Index jumped double digits across dry van, reefer, and flatbed in June. ATA's tonnage index was essentially flat, up 0.1% month over month and down 0.1% year over year [Transport Topics]. Volumes aren't the story. Supply is.

> *"The positive impact of non-compliant capacity exiting the market has been realized more quickly than initially anticipated, and we remain confident that the enterprise will continue to deliver strong operating leverage."*
>
> Jim Filter, President and CEO, Schneider National

The Trump administration says it has already pulled 24,000 foreign truckers lacking English proficiency off the road and forced states to cancel 28,000 CDLs "unlawfully issued" to undocumented drivers [Transport Topics]. Werner CEO Derek Leathers has called driver attrition "just the third inning." Knight-Swift CEO Adam Miller told investors this month that "recruiting and retaining quality drivers have become more challenging" and that the company is now making "thoughtful targeted investments" including hiring and productivity incentives [Trucking Dive].

Not every carrier is riding the wave. Covenant Logistics stock dropped 11% on an earnings report that showed insurance costs at a historical high and expedited freight lagging, with CFO James Grant telling analysts the company is built for "steady improvements, not a hockey stick" [FreightWaves]. Heartland Express only returned to profitability because of a $22 million year-over-year gain on equipment sales; strip that out and its operating ratio was closer to 103% [FreightWaves]. Filter's line about recouping "multiple years of significant cost inflation" captures where the healthier fleets are pointing.

For safety directors and operations leaders, the takeaway is straightforward. This cycle is regulatory, not cyclical. The carriers positioned to benefit have their compliance house in order,

their driver pipeline funded, and their pricing conversations already underway. The ones still hoping demand will save them are running out of runway.

QUICK TAKES

What else moved the market this month.

REGULATION

Trump launches Freedom Haulers to fast-track veterans into CDL seats

The White House unveiled a military-to-trucking pipeline backed by Werner, J.B. Hunt, Schneider, Stevens Transport, and UPS, extending the Military Skills Test Waiver window from 12 to 24 months post-discharge and letting qualified veterans skip both the knowledge and driving tests [Transport Topics]. The VA will fund truck driving school through the GI Bill, and DOD will let transitioning service members spend their final 180 days of active duty in civilian trucking training via SkillBridge [Trucking Dive]. It's the clearest federal signal yet that the administration wants American labor filling the seats being vacated by enforcement.

REGULATION

FRA proposes English proficiency and stricter certification for Mexican rail crews

The Federal Railroad Administration published a rule that would require Mexican train crews crossing into the US to demonstrate English proficiency, hold the 10-mile limit on how far foreign crews can operate inside the country, and bar the use of automated train-control systems during engineer certification tests [Transport Topics]. Both BLET and SMART-TD backed the move, citing safety and communication concerns after inspections at UP and CPKC border yards. The rail rule mirrors the trucking English-language enforcement wave and signals that cross-border communication standards are now a federal priority across modes.

LITIGATION

C.H. Robinson vows appeal after $604M negligent hiring verdict

A Dallas County jury delivered a $604 million verdict against C.H. Robinson in a fatal crash case involving carrier Lupus Superior, which had run nearly 270 prior loads for the broker [Transport Topics]. CEO Dave Bozeman said the company "did not act negligently" and called on Congress to establish clear federal broker liability standards. The ruling comes months after the Supreme Court cleared the path for state-law negligent hiring claims against brokers, and Covenant executives cited a

rising wave of seven-figure mediations on their own call [FreightWaves]. Expect insurance renewals to get harder.

TECH

Autonomous trucks move from pilot to paying customer

Aurora Innovation posted a $270M Q2 loss but signed new transportation-as-a-service deals with Charger Logistics and Value Truck on Sun Belt lanes, targeting a 100-truck fleet by year-end at roughly $80M in run-rate revenue [FreightWaves]. Kodiak and Atlas Energy expanded their Permian sand-hauling program to 100 driverless trucks by mid-2027, hitting a record 176 loads in a single day [FreightWaves]. Aurora's target pricing of $0.85+ per mile under its driver-as-a-service model sits about 17% below what ATRI says fleets currently spend on driver wages and benefits per mile.

FUEL

Diesel climbs to $5.31 as Hormuz stays largely closed

Retail diesel hit $5.31 the week of July 27, up from $3.81 before the Iran war began in February, with the Strait of Hormuz still restricted and Brent crude back near $88 [Transport Topics]. Chevron posted record Q2 profit of $6.06 per share, and ExxonMobil booked its largest quarterly earnings since 2022, largely on refining margins near record highs. DAT's Croke warned that "the Middle East crisis is moving from supply chain disruption to physical shortages," which could push diesel higher into peak season and squeeze carriers who haven't locked in fuel surcharge language.

LTL

Old Dominion hits 70.1 OR while ArcBest consolidates

Old Dominion improved its operating ratio to 70.1% in Q2 even as tonnage fell 4.1% and shipments dropped 5.7%, and boosted its 2026 capex plan by more than $115 million [Trucking Dive]. ArcBest, meanwhile, is consolidating 10 ABF service centers as part of a broader restructuring, with weight per shipment up 8% year over year but shipment counts down [Trucking Dive]. The split shows what a soft LTL market rewards: pricing discipline and network density, not chasing volume.

WHAT TO WATCH

Stories worth tracking into next month.

REGULATION

EPA emissions proposal reshapes the 2027 truck order book

Paccar executives say the EPA's proposal to ease implementation of stricter NOx standards, letting fleets keep buying current-generation engines and pay a nonconformance fee, should smooth out the pre-buy and make 2027 "a very healthy market" [Trucking Dive]. Watch for order patterns to shift as fleets recalibrate replacement cycles into next year.

LABOR

Werner targets 1,400 veteran hires by 2027

Werner is aiming to hire 1,400 new veteran drivers by 2027 under Operation Freedom, with 15% of its 14,000 associates already veterans or military spouses [Transport Topics]. If Freedom Haulers delivers the volume the White House is promising, expect other major carriers to publish their own veteran hiring targets before year-end.

PEAK SEASON

Shipping costs outpacing consumer prices heading into Q4

Deposco's latest data shows parcel inflation ran at 12.8% year over year at the close of Q2, more than triple the 3.9% rate of consumer price inflation, while operator margin cushions collapsed from 9.7 points to 0.6 [DC Velocity]. With inventories running lean at 89.3 days on hand, any peak season demand surprise will hit an already-tight network.

THE BOTTOM LINE

This month's numbers point the same direction. Capacity is leaving, rates are climbing, and the fleets holding pricing discipline and clean compliance records are the ones taking share. Enforcement, litigation exposure, and driver supply are now the three levers that decide whether a fleet gets to enjoy this cycle or just survive it. Build the pipeline, tighten the safety program, and price for the market you're actually in, not the one you left behind in 2024.

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SOURCES ▲

Compiled 2026-08-01 from 8 publications over the past 30 days.

DC Velocity

- 2026-07-31 FedEx to expand pilot project of autonomous trailer loading system
- 2026-07-31 White House ban on foreign robot sales could hamstring logistics automation projects
- 2026-07-30 Data shows worst states for truck parking
- 2026-07-30 Federal regulators approve DoorDash plan for drone delivery
- 2026-07-29 WOW Index shows that U.S. supply chain activity remains in “contraction”
- 2026-07-29 Army drone delivers cargo in autonomous demo
- 2026-07-29 Port of Savannah reports June container volumes up 18%
- 2026-07-29 Deposco: Shipping costs are on the rise as retailers near peak season
- 2026-07-29 Swedish investment firm buys 11 logistics properties for $268 million
- 2026-07-28 Rethinking the warehouse playbook

FreightWaves

- 2026-08-01 $20M in cocaine found beneath floorboards of commercial truck trailer at California border
- 2026-08-01 Aurora reports Q2 results, details per-mile pricing
- 2026-07-31 Erie truck driver faces 22 charges after police say he fled 9-vehicle crash carrying Bud Light
- 2026-07-31 Amazon ramps up delivery speed, robotics roll out
- 2026-07-31 Gains from equipment sales save Heartland’s Q2
- 2026-07-31 Covenant’s earnings drop stock, company focused long-term
- 2026-07-31 Atlas grows Kodiak driverless truck fleet to 100 rigs
- 2026-07-31 FedEx moves closer to deploying robots that can load trailers
- 2026-07-31 CHP finds $500K in stolen cargo tied to multiple Southern California thefts
- 2026-07-31 Schneider National pushes price amid market imbalance

Supply Chain Dive

- 2026-07-31 Amazon’s 2025 emissions jump as AI brings ‘momentum and complexity’: report
- 2026-07-31 Best Buy adds solar field to power California distribution center
- 2026-07-31 GE Aerospace trims lead times by 60%
- 2026-07-31 Johnson & Johnson embarks on supply chain restructuring
- 2026-07-30 General Motors is driving toward supply chain resiliency
- 2026-07-30 UPS: Over two-thirds of US volume now handled by automated locations
- 2026-07-30 Fed holds benchmark rate steady in vote with three dissents
- 2026-07-30 Walgreens opens Washington micro-fulfillment center
- 2026-07-29 Caraway Home’s 3PL collaboration drives parcel savings, returns benefits
- 2026-07-29 Fashion brands plan to consolidate sourcing over next 2 years

The Loadstar

- 2026-07-31 Rates still in decline, but optimistic carriers look for an August spike
- 2026-07-31 Maersk expands Gemini shuttle strategy to west coast Latin America
- 2026-07-31 Fuel rises, rates fall – the contradictions shaping air cargo’s next move
- 2026-07-31 Covid’s legacy: ‘Flexibility has replaced efficiency as box shipping’s guiding principle’
- 2026-07-31 New Cosco subsidiary gives Chinese free-trade port a boost
- 2026-07-31 EXCLUSIVE: MSC targets SMEs – share gains to be had where ‘others fall behind’
- 2026-07-30 Houthis set to further muddy the already troubled Middle East water
- 2026-07-30 Tolls needed to deter motorists as more barge traffic shifts to the roads
- 2026-07-30 CH Robinson says AI already paying dividends as rivals focus on resilience
- 2026-07-30 Demand still outpacing capacity as AI traffic bolsters air cargo market

Transport Advancement

- 2026-08-01 Belarus Launches First Direct Freight Train to Uzbekistan
- 2026-07-31 Egypt, Liberia Sign MoU to Boost Regional Civil Aviation
- 2026-07-30 Egypt, Mozambique Strengthen Civil Aviation Cooperation
- 2026-07-30 Egypt and the UAE Expand Bilateral Air Transport Rights
- 2026-07-28 South Korea Adopts AI to Enhance Railway Maintenance
- 2026-07-28 Iraq Set to Launch Maritime Routes Linking Gulf Countries
- 2026-07-28 Autonomous Cargo Ejection Modernizing Smart Air Logistics
- 2026-07-28 Precision Drop Technology Improving Cargo Delivery Accuracy
- 2026-07-28 Next-Gen Drag Systems Improving Advanced Cargo Extraction
- 2026-07-28 Extraction as a Service Boosting Modern Air Cargo Operations

Transport Topics

- 2026-07-31 C.H. Robinson vows appeal of $604 million verdict
- 2026-07-31 FRA seeks tougher English standards for Mexican rail crews
- 2026-07-31 Freight volume stays soft as capacity declines continue
- 2026-07-31 Oil prices tick up as Strait of Hormuz remains closed
- 2026-07-31 Chevron posts record profit on Iran war-driven price rally
- 2026-07-31 Exxon posts slight miss as repairs dogged refining results
- 2026-07-31 NHTSA investigates Tesla over risk of suspension failure
- 2026-07-31 UAE to overhaul how it prices all crude oil after big swings
- 2026-07-31 Trump unveils military-to-trucking hiring pipeline
- 2026-07-31 AI is accelerating, but how can trucking use it effectively?

Transportation Today News

- 2026-07-31 Renderings revealed for Dulles modernization project
- 2026-07-31 MTA releases 2026 July Financial Plan
- 2026-07-30 FTA announces $610M to modernize American bus infrastructure
- 2026-07-30 Merchant Marine Act waiver will harm U.S. economy, study finds
- 2026-07-30 Connecticut breaks ground on TIME-1
- 2026-07-29 Transportation Department announces Union Station milestone
- 2026-07-29 Amtrak highlights accessibility efforts
- 2026-07-29 CPKC awarded ‘best host railroad’ award
- 2026-07-28 Amtrak, Schuylkill River Passenger Rail Authority sign agreement to restore passenger rail to Reading, other Pennsylvania communities
- 2026-07-28 Illinois holds ribbon cutting ceremony for first NEVI charging station

Trucking Dive

- 2026-07-31 Trump administration fast-tracks CDL path for veterans
- 2026-07-31 ArcBest notes ‘very healthy pipeline’ amid restructuring
- 2026-07-30 Old Dominion Freight Line reaches 70.1% operating ratio in Q2
- 2026-07-30 Paccar expects EPA emissions proposal to strengthen 2027 truck market
- 2026-07-29 Werner posts revenue gains, aided by one-way restructuring
- 2026-07-29 CCM appoints first-ever chief commercial officer
- 2026-07-28 TFI boosts profits, navigates jump in TForce Freight volume
- 2026-07-28 Canadian National won’t fight UP-NS merger under new deal
- 2026-07-27 Aurora gets 2 carriers to start AV hauls

2026-07-27 Carriers note tight labor market, select incentives increasing pay